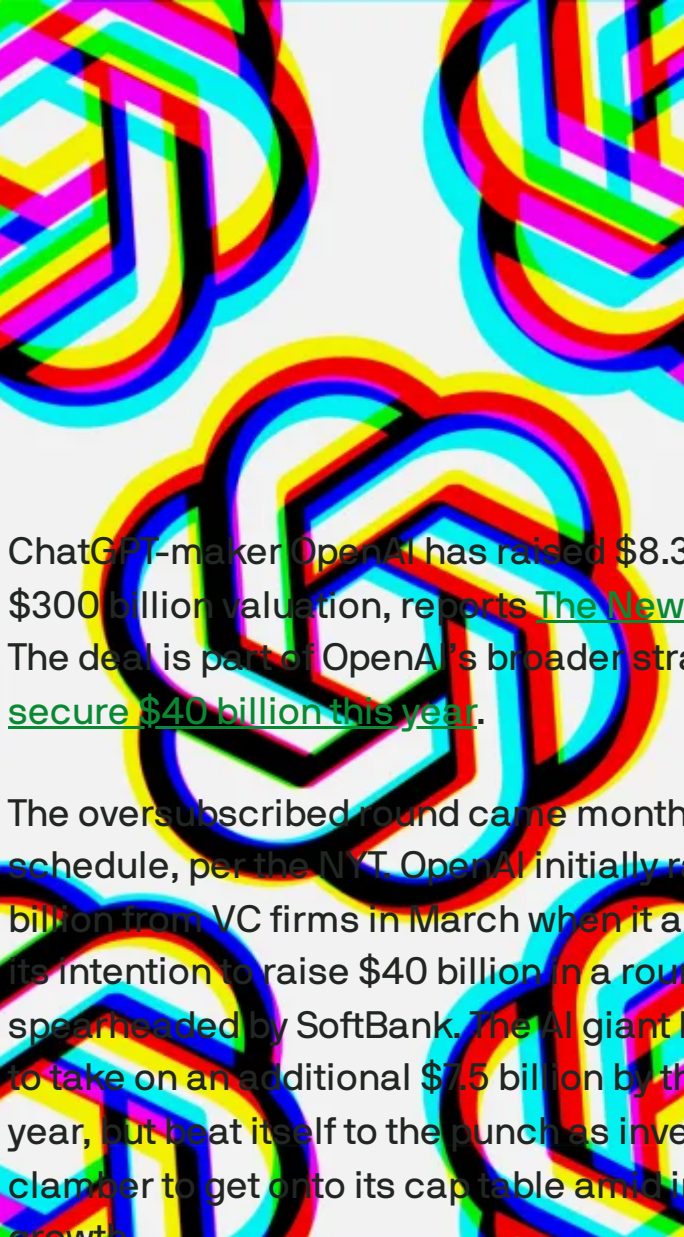


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AI



OpenAI reportedly raises
\$8.3B at \$300B valuation



ChatGPT-maker OpenAI has raised \$8.3 billion at a \$300 billion valuation, reports [The New York Times](#). The deal is part of OpenAI's broader strategy to [secure \\$40 billion this year](#).

The oversubscribed round came months ahead of schedule, per the NYT. OpenAI initially raised \$2.5 billion from VC firms in March when it announced its intention to raise \$40 billion in a round spearheaded by SoftBank. The AI giant had planned to take on an additional \$7.5 billion by the end of the year, but beat itself to the punch as investors clamored to get onto its cap table amid impressive growth.

IMAGE CREDITS: BRYCE DURBIN / TECHCRUNCH

On Thursday, [The Information](#) reported OpenAI hit \$12 billion in annualized revenue and surpassed 700 million ChatGPT weekly active users. The Times today said that the number is closer to \$13 billion, with projections to reach \$20 billion by the end of the year. Other tailwinds include the [Trump administration's AI Action Plan](#) and [talks with Microsoft](#) that could help the startup reach its goal of becoming a true for-profit company.

The Times reported that Dragoneer Investment Group, an under-the-radar investor, led the round with a startling \$2.8 billion check. Many new investors participated in the round, including private equity giants Blackstone and TPG, and mutual fund manager T. Rowe Price. Other participants include Altimeter Capital, Andreessen

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Horowitz, Coatue Management, D1 Capital Partners, Fidelity Management, Founders Fund, Sequoia Capital, Tiger Global, and Thrive Capital.

Some early investors in OpenAI were reportedly dismayed by the smaller allocations they got in the round as the AI behemoth prioritized bringing on new strategic backers.

TechCrunch has reached out to OpenAI for comment.

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OpenAI closes \$300M share sale at \$27B-29B valuation

Jagmeet Singh, Ingrid Lunden

4:10 PM PDT · April 28, 2023

Optimizing
Models
que

el called ChatGPT which interacts in a
The dialogue format makes it possible for
followup questions, admit its mistakes,
t premises, and reject inappropriate
is a sibling model to InstructGPT, which is
in instruction in a prompt and provides a

Updated to note that the Microsoft investment
closed in January. The money from VCs reported
here, part of a tender offer, is separate to that.

OpenAI, the startup behind the widely used
conversational AI model ChatGPT, has picked up
new backers, TechCrunch has learned.

VC firms including Sequoia Capital, Andreessen
Horowitz, Thrive and K2 Global picking up new
shares, according to documents seen by
TechCrunch. A source tells us Founders Fund is
also investing. Altogether the VCs have put in just
over \$300 million at a valuation of \$27 billion – \$29
billion. This is separate to a big investment from
Microsoft [announced earlier this year](#), a person
familiar with the development told TechCrunch,
which closed in January. The size of Microsoft's
investment is believed to be around \$10 billion, a
figure we confirmed with our source.

If all this is accurate, this is the closing of the
tender offer the Wall Street Journal [reported](#) was in
the works in January. We confirmed that was when
discussions started, amid a viral surge of interest in
OpenAI and its business.

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We have reached out to the investors named here, as well as to OpenAI, for comment and will update this story as we learn more. OpenAI declined to comment on the tender offer, which is separate to the Microsoft investment that closed in January.

While Microsoft’s investment comes with a strong strategic angle — the tech giant is working to integrate OpenAI’s tech across a number of areas of its business — the VCs are coming in as financial backers.

From what we understand, the term sheets have been signed by investors and the money’s been transferred; still to come is countersigning from OpenAI. The plan was to make this investment public next week.

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Altogether, outside investors now own more than 30% of OpenAI, the source said.

According to PitchBook data, it appears that Peter Thiel had already been a backer but it seems this is the first time Founders Fund will be investing; K2 Global, a firm with just one partner, [Ozi Amanat](#), and Thrive are also first-time backers of the startup. From PitchBook data, it looks like Sequoia and A16Z had been earlier investors in the company.

A number of firms, including [Sequoia](#), have had some knocks as a result of the financial crisis the tech sector has seen in the last year; in general, a number of VCs have massively slowed down their investing pace, sitting on so-called “dry powder” waiting for a better climate, and maybe better opportunities.

So at a moment when investors are [on the hunt for interesting AI startups to back](#), OpenAI is likely seen as the kind of opportunity that looks good right now.

“They’re probably trying to use this [funding] to say hey, look, we found a golden apple,” a source said of the decision to back OpenAI here and now.

“Venture is a very strange place where anything can happen. You can go big to broke to big again, at any time.”

OpenAI has an army of technical teams working across a range of areas, but the area that has attracted a lot of attention of late is GPT, short for Generative Pre-trained Transformer, which is

OpenAI's family of large language models used by third parties by way of APIs.

There is also ChatGPT, the generative AI service that OpenAI released at the end of November 2022 based on GPT that lets anyone type out a natural question and get a cogent, detailed answer. ChatGPT has been a certifiable hit, with more than 1 billion visitors to its website in February, says [SimilarWeb](#) — and that's not including those using that tech via third parties.

Generative AI is very much all the rage right now, but OpenAI has its [controversies](#), too, with many focused on that buzzy, consumer-facing ChatGPT product. People have questioned whether it [lies](#), whether it is a “[virus](#)“, how it handles [privacy](#), if it can be manipulated to be [toxic](#), or [commit libel](#); and in the wake of so many more rushing into AI development, even the very nature of how “[open](#)” OpenAI's GPT branding will be longer term has come up for discussion.

In fairness, OpenAI has acknowledged the work that still needs to be done, and meanwhile it's continued to develop services and iterate. In February, the startup [introduced a paid version](#) of ChatGPT, called ChatGPT Plus with a faster user experience. It was [upgraded with multimodal LLM GPT-4](#) in March.

<https://techcrunch.com/2023/04/25/chatgpt-everything-you-need-to-know-about-the-ai-powered-chatbot/>

Key to the proposition, OpenAI's valuation, and the likely interest of investors is that, alongside the technology, there is also a rapidly developing ecosystem around that tech.

In addition to the hundreds of millions of people who have played around with ChatGPT, hundreds of

businesses large and small have started deploying GPT and ChatGPT into their products and services. That has also been a fillip to other big tech companies speed up the roll out of their own efforts in generative AI. Google has launched [Bard](#) and Meta also introduced [LLaMA](#) to take on GPT with its proprietary LLM.

OpenAI, however, has some undeniable gravity amidst the competition, not least because of its singular focus on the AI space since its founding in 2015. That's been even as it has gone through some significant changes — including [shifting](#) from its original non-profit model. We don't *really* know if AI will precipitate the seismic shift that many say it will, but as one person put it: OpenAI may be the closest thing we have to a winner in the space right now.

“We’ve been working on it for so long, but it’s with gradually increasing confidence that it’s really going to work,” co-founder and CEO Sam Altman said at an AI conference earlier this month. “We’ve been [building] the company for seven years. These things take a long, long time. I would say by and large in terms of why it worked when others haven’t: It’s just because we’ve been on the grind sweating every detail for a long time. And most people aren’t willing to do that.”

In addition to ChatGPT, OpenAI has its AI-based image-generation tool called Dall-E that [received a significant update](#) in July last year. It also has speech recognition model Whisper AI.

Microsoft’s efforts have included integrating OpenAI’s APIs with its Azure infrastructure to support the computational requirements of the models. It also in March [announced](#) a GPT-4 integration to supercharge Bing, part of Microsoft’s longstanding efforts to make a dent in the dominance of Google’s search services.

Updated to remove Tiger from this story; it did not participate in this share sale but is an investor in OpenAI.

Sam Altman: Size of LLMs won't matter as much moving forward



When OpenAI co-founder and CEO Sam Altman speaks these days, it makes sense to listen. His latest venture has been on everyone's lips since the release of GPT-4 and ChatGPT, one of the most sophisticated large language model-based interfaces created to date. But Altman takes a deliberate and humble approach, and doesn't necessarily believe that ... [Continue reading](#)



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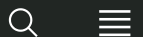


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Elon Musk [may be suing OpenAI](#), accusing the ChatGPT maker of abandoning the company's original mission as a nonprofit organization, but Josh Kushner, founder of Thrive Capital and one of the company's key investors, has nothing but good things to say about the world's richest man.

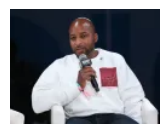
"I have deep admiration and respect for Elon," Kushner said last week at Fortune Global Forum.

His position may not be a surprise. Thrive is an investor in SpaceX, and Kushner has family ties to Donald Trump, whom Musk helped elect. Kushner is

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the younger brother of the president-elect's son-in-law Jared Kushner.

Indeed, when asked if he may be more worried about his investment in OpenAI now that Musk has an outsized influence with the incoming White House, Kushner didn't miss a chance to praise Musk's political intentions. (Earlier last week, Trump appointed Musk to co-lead the newly created [Department of Government Efficiency](#).)

"My interpretation of [Musk's] excitement to participate in the government is very much driven by his desire to do right by everyone," Kushner said. "I have extreme confidence that he is always going to do what he thinks is right for all Americans."

Musk is taking more action than just suing OpenAI, which he helped establish and [donated \\$44 million](#) to. Last year, he launched an OpenAI competitor, xAI.

His lawsuit has named OpenAI CEO Sam Altman and co-founder Greg Brockman as defendants, but Kushner didn't want to highlight the dispute between the co-founders of his portfolio company and Musk.

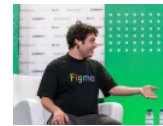
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“I know for certain that both Sam and Greg have deep respect and an immense amount of gratitude for all that Elon has done not just for OpenAI but for the rest of the world and humanity,” Kushner said.

Two days after Fortune interviewed Kushner, Musk filed an amended complaint, [which also named](#) Microsoft, its current board member Reid Hoffman, and former OpenAI board member and Microsoft VP Dee Templeton as new defendants.

In the updated lawsuit, Musk’s lawyers argue that OpenAI is now “actively trying to eliminate competitors” like xAI by “extracting promises from investors not to fund them.”

It should be pointed out that many venture capital firms often try not to back direct competitors as part of their conflict-of-interest policies. However, it’s also true that many investors have been willing to back the hottest competitive AI companies if they were given the chance. Sequoia, for instance, was an early backer of OpenAI and has been a key investor in [xAI](#).

Thrive was the lead backer of OpenAI's latest \$6.5 billion round, which valued the company at \$157 billion. Kushner's fund contributed \$1.3 billion of that capital, with \$750 million coming from the firm's fund and \$550 million from other investors through a special purpose vehicle, the [New York Times reported](#). Thrive also reportedly has an option to invest an [additional \\$1 billion](#) in OpenAI next year at the same \$157 billion valuation if the company hits its revenue goal of \$11.6 billion. Thrive is not listed as an investor in xAI or any direct OpenAI competitor, according to its profile on PitchBook.

While Kushner's public praise of Musk indicates how little he wants to rock the boat between the leaders of two of his high-profile portfolio companies, Musk's allegations didn't, perhaps, come out of the blue. [Sources told Reuters in October](#) that OpenAI asked its investors to avoid backing a specific list of other AI companies, including Musk's xAI.

In August, Thrive raised \$5 billion across two funds: a \$1 billion early-stage fund and \$4 billion for investing in later-stage companies. The firm, which was founded in 2009, has a total of \$15.5 billion in assets under management, according to PitchBook data.

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Marina Temkin is a venture capital and startups reporter at TechCrunch. Prior to joining TechCrunch, she wrote abo...

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OpenAI acquires AI design studio Global Illumination

Kyle Wiggers — 10:12 AM PDT · August 16, 2023

OpenAI, the AI company behind the [viral AI-powered chatbot ChatGPT](#), has acquired [Global Illumination](#), a New York-based startup leveraging AI to build creative tools, infrastructure and digital experiences.

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It's OpenAI's first public acquisition in its roughly seven-year history. The terms of the deal weren't disclosed.

"We're very excited for the impact they'll have here at OpenAI," OpenAI wrote in a brief [post](#) published to its official blog. "The entire team has joined OpenAI to work on our core products including ChatGPT."

Global Illumination, launched by Thomas Dimson, Taylor Gordon and Joey Flynn, has been involved in a range of projects since its founding in 2021. Backed by VC firms Paradigm, Benchmark and Slow, Global Illumination's team designed and built products early on at Instagram and Facebook as well as YouTube, Google, Pixar and Riot Games.

As director of engineering at Instagram, Dimson was instrumental in iterating the platform's discovery algorithms. While there, he helped to start the teams responsible for Instagram's Explore tab experience, feed and Stories ranking, IGTV and general data engineering.

Global Illumination's most recent creation is Biomes, a Minecraft-like [open source](#) sandbox multiplayer online role-playing game (MMORPG) built for the web. The game's fate is unclear, but one would presume that the team's work at OpenAI will have less of an entertainment bent.

OpenAI might've avoided acquisitions until now, but the company, backed by [billions](#) in venture capital from [Microsoft](#) and major VC players, has for several years [run funds](#) and [grant programs](#) to invest in emerging AI companies and organizations.

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Certainly, OpenAI is on the hunt for a commercial win. While ChatGPT achieved global fame, OpenAI reportedly spent upward of \$540 million last year to develop it, including funds it used to poach talent from the likes of Google, [according](#) to The Information.

OpenAI made \$30 million in revenue last year. But CEO Sam Altman has [reportedly](#) told investors that the company intends to boost that figure to \$200 million this year and \$1 billion next year.

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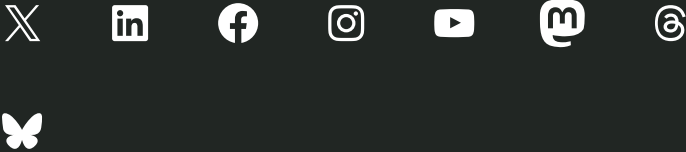
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Kyle Wiggers was TechCrunch’s AI Editor until June 2025. His writing has appeared in VentureBeat and Digital...

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